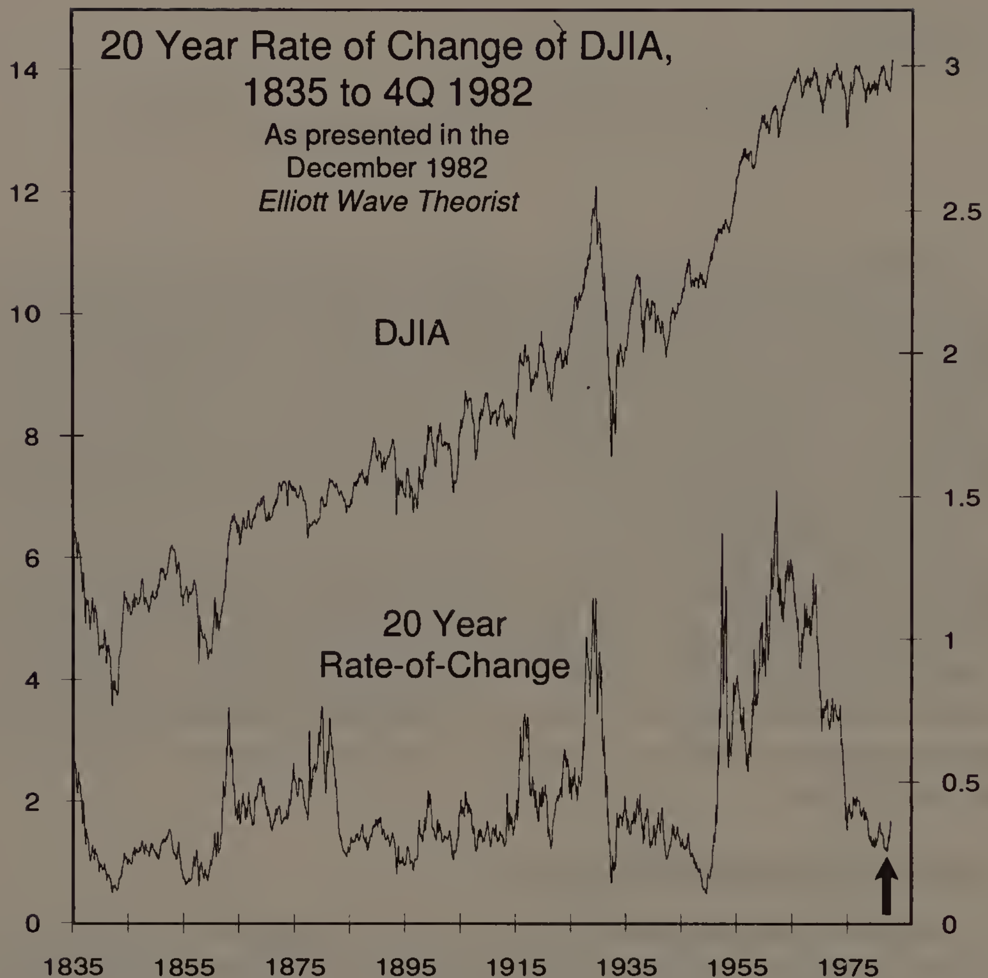

Figure 9-1

Cycle degree and therefore would not produce an even deeper oversold condition like those of 1933 and 1949.

As you can see in Figure 9-2, the updated 20-year rate of change for the DJIA now shows an *overbought* condition commensurate with those of 1929 and 1962. Those dates respectively preceded (1) an 89% drop in the DJIA and (2) twenty years of zero net gain in the DJIA during a mostly inflationary period, which included a decline of 75% in real terms beginning four years after the peak overbought condition was registered. The current overbought condition is likely to mark no less an important market juncture. For reasons discussed under **Divergence,** the fact that the overbought condition in 1995 is *less* than that of 1962 supports the conclusion from the Wave Principle that the trend change is of even *larger* degree than either 1929 or 1966.